

Week ending 21st August 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES 24.0 Billion worth of T-bills were on offer during the week. The **91-day**,**182-day** and **364-day** T-bills were subscribed recording subscription rates of **65% ,9%** and **62%** respectively. The CBK accepted KES **2.6B**, **0.9B** and **6.1B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

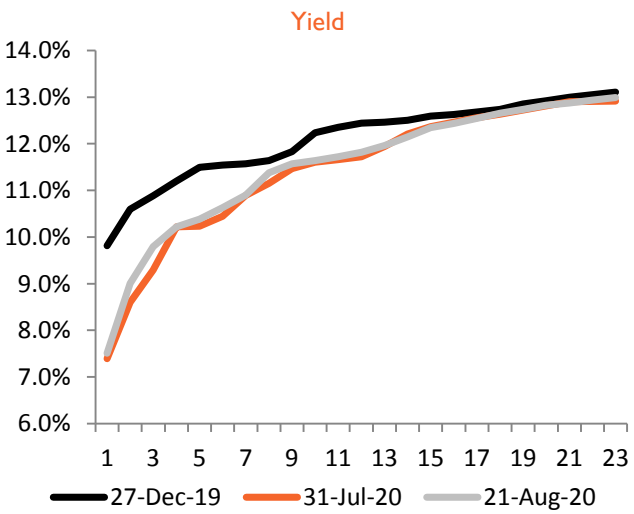
In August, Central Bank of Kenya is opening an infrastructure bond **IFB1/2020/11** in a bid to raise **70 Billion**. The bond recorded a performance rate of **144.96%.** The CBK received total bids at cost **KES 101.4B** while the total amount accepted was **KES78.6B** . The bond was oversubscribed due to the high liquidity in the market..

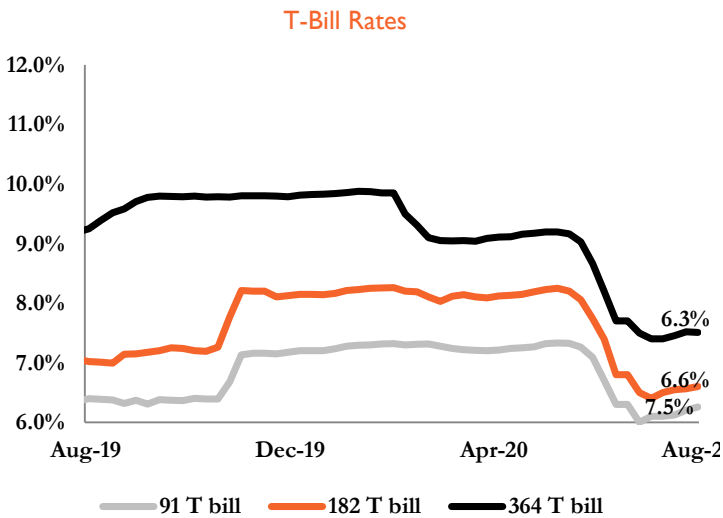
Key Indicators

	Current	Previous	% Change
91-day	6.26%	6.20%	0.97%
182-day	6.60%	6.56%	0.61%
364-day	7.51%	7.52%	-0.13%
Interbank	2.71%	1.83%	41.09%

Macroeconomic data	Current	Previous
GDP (1Q20 vs. 1Q19)	4.9%	5.5%
Inflation (July)	4.36%	4.59%
Private sector credit growth (May)	8.1%	9.0%
Money Supply (March)	4.9%	7.3%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week, appreciating by **0.28%** to stand at **108.01**.The CBK's usable forex reserves currently stand **USD9175million** (**5.6** months of import cover) as at August 20th a **0.77%** decrease from **USD9,246million**(**5.6** months of import cover) as at August 6th

Inflation

Inflation decreased from to **4.59%** in June to **4.36%** in July. The CPI increased by **0.08%** to **108.35** from **108.27.**

GDP growth

Growth receded to **4.9%** in 1Q20 from **5.5%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.2%** to **4.9%** Year-on-year, other sectors have grown at a slower rate including manufacturing, construction and accommodation that slowed down by **0.6%,0.8%** and **9.3%** respectively.

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